Transmittal Totals · Forms 1099-NEC · 2026

Prepared summary in the forms' boxes; not the official Forms 1099-NEC. The forms follow from page 2.

Payer's TIN	00-4567890 (demonstration)
Payer	HANGS Construction Services LLC
Address	2150 Harbor Ridge Ave S, Suite 300, Seattle, WA 98134
Telephone	206-555-0142
Contact	Dana Whitfield, Controller, ap@hangs-gc.example
Due date	February 1, 2027, to the IRS electronically and to each recipient

The same totals a Form 1096 would carry

Total number of forms	**9**
Box 1a · Nonemployee compensation	**708,088.00**
Box 4 · Federal income tax withheld	**2,112.00**

Form 1096 is not filed: it transmits paper forms only, and HANGS must e-file because it files at least 10 information returns, its 101 Forms W-2 included. The electronic filing carries these totals.

Every 2026 payment, in one place

Payments through accounts payable	2,319,760.47
Corporations, by W-9 classification	1,291,045.00
Merchandise only	129,997.47
Corporate card charges (Form 1099-K)	6,200.00
Rent: Form 1099-MISC box 1 (MISC-01)	96,000.00
Settlement to an attorney: Form 1099-MISC box 10 (MISC-01)	85,000.00
Services under the 2026 threshold of $2,000	3,430.00
Left out of Form 1099-NEC, in all	**1,611,672.47**
Backup withholding not withheld from the payee with no TIN, owed by HANGS (BACKUP-01)	**1,344.00**

Box 1a, $708,088.00, plus everything left out equals the year's payments, $2,319,760.47; box 4 equals the backup withholding credited to account 2215.

Signature: none. This draft has not been filed. Open items stay with a person: TIN-01, BACKUP-01, LABOR-01, MISC-01, RETURN-01.

UNSIGNED DRAFT

Forms 1099-NEC · Nonemployee Compensation · 2026

Prepared summary in the forms' boxes; not the official Forms 1099-NEC. Recipient TINs truncated; boxes 1b to 3 and 5 to 7 empty.

V-101 · Cascade Rebar Placement LLC

Recipient's TIN: XX-XXX3318 · Single-member LLC · 4410 E Marginal Way S, Seattle, WA 98134

1a	Nonemployee compensation	**540,600.00**
4	Federal income tax withheld	*None*

V-105 · Tomas Arvelo

Recipient's TIN: XXX-XX-5562 · Individual/sole proprietor · 1416 S 56th St, Tacoma, WA 98408

1a	Nonemployee compensation	**33,348.00**
4	Federal income tax withheld	*None*

LABOR-01: employee or contractor

V-106 · Harbor Field Counsel PLLC

Recipient's TIN: XX-XXX4470 · LLC taxed as a C corporation · 1200 Fifth Ave, Suite 1900, Seattle, WA 98101

1a	Nonemployee compensation	**38,640.00**
4	Federal income tax withheld	*None*

law firm: legal fees reported although taxed as a corporation

V-108 · Ridgeline Concrete Cutting

Recipient's TIN: None on file (left blank) · Not on file (no Form W-9) · PO Box 8812, Puyallup, WA 98373

1a	Nonemployee compensation	**14,400.00**
4	Federal income tax withheld	**2,112.00**

BACKUP-01: no TIN, backup withholding

V-109 · Cedar Hollow Tile

Recipient's TIN: XXX-XX-8836 · Individual/sole proprietor · 3321 S Holly St, Seattle, WA 98118

1a	Nonemployee compensation	**26,850.00**
4	Federal income tax withheld	*None*

TIN-01: name and TIN do not match IRS records

V-110 · Summit Crane and Rigging LLC

Recipient's TIN: XX-XXX2207 · Single-member LLC · 5600 W Marginal Way SW, Seattle, WA 98106

1a	Nonemployee compensation	**18,400.00**
4	Federal income tax withheld	*None*

$6,200.00 charged to the corporate card left out

V-114 · Sound Survey Partners LLC

Recipient's TIN: XX-XXX3906 · Single-member LLC · 600 Main St, Suite 210, Edmonds, WA 98020

1a	Nonemployee compensation	**11,250.00**
4	Federal income tax withheld	*None*

V-115 · Kestrel Engineering PLLC

Recipient's TIN: XX-XXX7128 · Single-member LLC · 1501 Fourth Ave, Suite 800, Seattle, WA 98101

1a	Nonemployee compensation	**22,600.00**
4	Federal income tax withheld	*None*

V-116 · Talia Brannigan · Northwest Safety Training

Recipient's TIN: XXX-XX-4381 · Individual/sole proprietor · 17010 Bothell Way NE, Lake Forest Park, WA 98155

1a	Nonemployee compensation	**2,000.00**
4	Federal income tax withheld	*None*

UNSIGNED DRAFT

Vendors Not Reported on Form 1099-NEC

Vendor	Why not	Paid
V-102 Northline Drywall Inc.	Not reported: corporation · C corporation	908,200.00
V-103 Puget Sound Shoring Co.	Not reported: corporation · C corporation	190,900.00
V-104 Evergreen Site Services LLC	Not reported: corporation · LLC taxed as an S corporation	147,425.00
V-107 Moss and Tarrant PLLC	Form 1099-MISC box 10 (MISC-01) · Single-member LLC	85,000.00
V-111 Wen Iverson	Not reported: under $2,000 · Individual/sole proprietor	1,450.00
V-112 Omar Kettering	Not reported: under $2,000 · Individual/sole proprietor	1,980.00
V-113 Olympic Lumber Supply LLC	Not reported: merchandise · Single-member LLC	129,997.47
V-117 Elliott Bay Equipment Rental Inc.	Not reported: corporation · C corporation	44,520.00
V-118 Harbor Ridge Office Partners LLC	Form 1099-MISC box 1 (MISC-01) · Single-member LLC	96,000.00
V-110 Summit Crane and Rigging LLC	Card charges only: Form 1099-K by the card issuer	6,200.00

UNSIGNED DRAFT

FORMS 1099-NEC · FOLLOW THE EVIDENCE

Transmittal · Total number of Forms 1099-NEC

9 forms

Workbook: Summary!B8

Draft figure · open items and review remain

Summary!B8 = 9
='Forms 1099-NEC'!G17

Forms 1099-NEC!G17 = 9
=SUM(G8:G16)

Forms 1099-NEC!G8 = 1
=ROUND(C8/C8,0)

Forms 1099-NEC!C8 = $540,600.00
='Vendors'!F8

Vendors!F8 = $540,600.00
=ROUND(D8-E8,2)

Vendors!D8 = $540,600.00
='E04 Payments'!I20

E04 Payments!I20 = $540,600.00

Vendors!E8 = $0.00

Forms 1099-NEC!G9 = 1
=ROUND(C9/C9,0)

Forms 1099-NEC!C9 = $33,348.00
='Vendors'!F12

Vendors!F12 = $33,348.00
=ROUND(D12-E12,2)

Vendors!D12 = $33,348.00
='E04 Payments'!I74

E04 Payments!I74 = $33,348.00

Vendors!E12 = $0.00

... 44 more steps: the full chain is in the workbook and on the review screen.

Source files and cells (the full formula chain is in the workbook and on the review screen):
03 Payments/2026 vendor payments by vendor.xlsx · Vendor Payments!I20, Vendor Payments!I74, Vendor Payments!I83, Vendor Payments!I91, Vendor Payments!I98, Vendor Payments!I105, Vendor Payments!I101, Vendor Payments!I103, Vendor Payments!I130, Vendor Payments!I136, Vendor Payments!I139

Original documents are attached to this PDF. The workbook is attached too.

UNSIGNED DRAFT

FORMS 1099-NEC · FOLLOW THE EVIDENCE

Transmittal · Box 1a · Nonemployee compensation, all forms

$708,088.00

Workbook: Summary!B9

Draft figure · open items and review remain

Summary!B9 = $708,088.00
='Forms 1099-NEC'!C17

Forms 1099-NEC!C17 = $708,088.00
=ROUND(SUM(C8:C16),2)

Forms 1099-NEC!C8 = $540,600.00
='Vendors'!F8

Vendors!F8 = $540,600.00
=ROUND(D8-E8,2)

Vendors!D8 = $540,600.00
='E04 Payments'!I20

E04 Payments!I20 = $540,600.00

Vendors!E8 = $0.00

Forms 1099-NEC!C9 = $33,348.00
='Vendors'!F12

Vendors!F12 = $33,348.00
=ROUND(D12-E12,2)

Vendors!D12 = $33,348.00
='E04 Payments'!I74

E04 Payments!I74 = $33,348.00

Vendors!E12 = $0.00

Forms 1099-NEC!C10 = $38,640.00
='Vendors'!F13

Vendors!F13 = $38,640.00
=ROUND(D13-E13,2)

... 35 more steps: the full chain is in the workbook and on the review screen.

Source files and cells (the full formula chain is in the workbook and on the review screen):
03 Payments/2026 vendor payments by vendor.xlsx · Vendor Payments!I20, Vendor Payments!I74, Vendor Payments!I83, Vendor Payments!I91, Vendor Payments!I98, Vendor Payments!I105, Vendor Payments!I101, Vendor Payments!I103, Vendor Payments!I130, Vendor Payments!I136, Vendor Payments!I139

Original documents are attached to this PDF. The workbook is attached too.

UNSIGNED DRAFT

FORMS 1099-NEC · FOLLOW THE EVIDENCE

Transmittal · Box 4 · Federal income tax withheld, all forms

$2,112.00

Workbook: Summary!B10

Draft figure · open items and review remain

Summary!B10 = $2,112.00
='Forms 1099-NEC'!D17

Forms 1099-NEC!D17 = $2,112.00
=ROUND(SUM(D8:D16),2)

Forms 1099-NEC!D8 = $0.00
='E04 Payments'!J20

E04 Payments!J20 = $0.00

Forms 1099-NEC!D9 = $0.00
='E04 Payments'!J74

E04 Payments!J74 = $0.00

Forms 1099-NEC!D10 = $0.00
='E04 Payments'!J83

E04 Payments!J83 = $0.00

Forms 1099-NEC!D11 = $2,112.00
='E04 Payments'!J91

E04 Payments!J91 = $2,112.00

Forms 1099-NEC!D12 = $0.00
='E04 Payments'!J98

E04 Payments!J98 = $0.00

Forms 1099-NEC!D13 = $0.00
='E04 Payments'!J105

E04 Payments!J105 = $0.00

Forms 1099-NEC!D14 = $0.00
='E04 Payments'!J130

... 5 more steps: the full chain is in the workbook and on the review screen.

Source files and cells (the full formula chain is in the workbook and on the review screen):

03 Payments/2026 vendor payments by vendor.xlsx · Vendor Payments!J20, Vendor Payments!J74, Vendor Payments!J83, Vendor Payments!J91, Vendor Payments!J98, Vendor Payments!J105, Vendor Payments!J130, Vendor Payments!J136, Vendor Payments!J139

Original documents are attached to this PDF. The workbook is attached too.

UNSIGNED DRAFT

FORMS 1099-NEC · FOLLOW THE EVIDENCE

Form 1099-NEC · Cascade Rebar Placement LLC · Box 1a · Nonemployee compensation

$540,600.00

Workbook: Forms 1099-NEC!C8

Draft figure · open items and review remain

Forms 1099-NEC!C8 = $540,600.00

='Vendors'!F8

Vendors!F8 = $540,600.00

=ROUND(D8-E8,2)

Vendors!D8 = $540,600.00

='E04 Payments'!I20

E04 Payments!I20 = $540,600.00

Vendors!E8 = $0.00

Source files and cells (the full formula chain is in the workbook and on the review screen):

03 Payments/2026 vendor payments by vendor.xlsx · Vendor Payments!I20

UNSIGNED DRAFT

Original documents are attached to this PDF. The workbook is attached too.

FORMS 1099-NEC · FOLLOW THE EVIDENCE

Form 1099-NEC · Tomas Arvelo · Box 1a · Nonemployee compensation

$33,348.00

Workbook: Forms 1099-NEC!C9

Draft figure · open items and review remain

Forms 1099-NEC!C9 = $33,348.00

='Vendors'!F12

Vendors!F12 = $33,348.00

=ROUND(D12-E12,2)

Vendors!D12 = $33,348.00

='E04 Payments'!I74

E04 Payments!I74 = $33,348.00

Vendors!E12 = $0.00

Source files and cells (the full formula chain is in the workbook and on the review screen):

03 Payments/2026 vendor payments by vendor.xlsx · Vendor Payments!I74

UNSIGNED DRAFT

Original documents are attached to this PDF. The workbook is attached too.

FORMS 1099-NEC · FOLLOW THE EVIDENCE

Form 1099-NEC · Harbor Field Counsel PLLC · Box 1a · Nonemployee compensation

$38,640.00

Workbook: Forms 1099-NEC!C10

Draft figure · open items and review remain

Forms 1099-NEC!C10 = $38,640.00

='Vendors'!F13

Vendors!F13 = $38,640.00

=ROUND(D13-E13,2)

Vendors!D13 = $38,640.00

='E04 Payments'!I83

E04 Payments!I83 = $38,640.00

Vendors!E13 = $0.00

Source files and cells (the full formula chain is in the workbook and on the review screen):

03 Payments/2026 vendor payments by vendor.xlsx · Vendor Payments!I83

UNSIGNED DRAFT

Original documents are attached to this PDF. The workbook is attached too.

FORMS 1099-NEC · FOLLOW THE EVIDENCE

Form 1099-NEC · Ridgeline Concrete Cutting · Box 1a · Nonemployee compensation

$14,400.00

Workbook: Forms 1099-NEC!C11

Draft figure · open items and review remain

Forms 1099-NEC!C11 = $14,400.00

='Vendors'!F15

Vendors!F15 = $14,400.00

=ROUND(D15-E15,2)

Vendors!D15 = $14,400.00

='E04 Payments'!I91

E04 Payments!I91 = $14,400.00

Vendors!E15 = $0.00

Source files and cells (the full formula chain is in the workbook and on the review screen):

03 Payments/2026 vendor payments by vendor.xlsx · Vendor Payments!I91

UNSIGNED DRAFT

Original documents are attached to this PDF. The workbook is attached too.

FORMS 1099-NEC · FOLLOW THE EVIDENCE

Form 1099-NEC · Cedar Hollow Tile · Box 1a · Nonemployee compensation

$26,850.00

Workbook: Forms 1099-NEC!C12

Draft figure · open items and review remain

Forms 1099-NEC!C12 = $26,850.00

='Vendors'!F16

Vendors!F16 = $26,850.00

=ROUND(D16-E16,2)

Vendors!D16 = $26,850.00

='E04 Payments'!I98

E04 Payments!I98 = $26,850.00

Vendors!E16 = $0.00

Source files and cells (the full formula chain is in the workbook and on the review screen):

03 Payments/2026 vendor payments by vendor.xlsx · Vendor Payments!I98

UNSIGNED DRAFT

Original documents are attached to this PDF. The workbook is attached too.

FORMS 1099-NEC · FOLLOW THE EVIDENCE

Form 1099-NEC · Summit Crane and Rigging LLC · Box 1a · Nonemployee compensation

$18,400.00

Workbook: Forms 1099-NEC!C13

Draft figure · open items and review remain

Forms 1099-NEC!C13 = $18,400.00

='Vendors'!F17

Vendors!F17 = $18,400.00

=ROUND(D17-E17,2)

Vendors!D17 = $24,600.00

='E04 Payments'!I105

E04 Payments!I105 = $24,600.00

Vendors!E17 = $6,200.00

=ROUND('E04 Payments'!I101+'E04 Payments'!I103,2)

E04 Payments!I101 = $3,400.00

E04 Payments!I103 = $2,800.00

Source files and cells (the full formula chain is in the workbook and on the review screen):

03 Payments/2026 vendor payments by vendor.xlsx · Vendor Payments!I105, Vendor Payments!I101, Vendor Payments!I103

UNSIGNED DRAFT

Original documents are attached to this PDF. The workbook is attached too.

FORMS 1099-NEC · FOLLOW THE EVIDENCE

Form 1099-NEC · Sound Survey Partners LLC · Box 1a · Nonemployee compensation

$11,250.00

Workbook: Forms 1099-NEC!C14

Draft figure · open items and review remain

Forms 1099-NEC!C14 = $11,250.00

='Vendors'!F21

Vendors!F21 = $11,250.00

=ROUND(D21-E21,2)

Vendors!D21 = $11,250.00

='E04 Payments'!I130

E04 Payments!I130 = $11,250.00

Vendors!E21 = $0.00

Source files and cells (the full formula chain is in the workbook and on the review screen):

03 Payments/2026 vendor payments by vendor.xlsx · Vendor Payments!I130

UNSIGNED DRAFT

Original documents are attached to this PDF. The workbook is attached too.

FORMS 1099-NEC · FOLLOW THE EVIDENCE

Form 1099-NEC · Kestrel Engineering PLLC · Box 1a · Nonemployee compensation

$22,600.00

Workbook: Forms 1099-NEC!C15

Draft figure · open items and review remain

Forms 1099-NEC!C15 = $22,600.00

='Vendors'!F22

Vendors!F22 = $22,600.00

=ROUND(D22-E22,2)

Vendors!D22 = $22,600.00

='E04 Payments'!I136

E04 Payments!I136 = $22,600.00

Vendors!E22 = $0.00

Source files and cells (the full formula chain is in the workbook and on the review screen):

03 Payments/2026 vendor payments by vendor.xlsx · Vendor Payments!I136

UNSIGNED DRAFT

Original documents are attached to this PDF. The workbook is attached too.

FORMS 1099-NEC · FOLLOW THE EVIDENCE

Form 1099-NEC · Talia Brannigan · Box 1a · Nonemployee compensation

$2,000.00

Workbook: Forms 1099-NEC!C16

Draft figure · open items and review remain

Forms 1099-NEC!C16 = $2,000.00

='Vendors'!F23

Vendors!F23 = $2,000.00

=ROUND(D23-E23,2)

Vendors!D23 = $2,000.00

='E04 Payments'!I139

E04 Payments!I139 = $2,000.00

Vendors!E23 = $0.00

Source files and cells (the full formula chain is in the workbook and on the review screen):

03 Payments/2026 vendor payments by vendor.xlsx · Vendor Payments!I139

UNSIGNED DRAFT

Original documents are attached to this PDF. The workbook is attached too.

FORMS 1099-NEC · FOLLOW THE EVIDENCE

Form 1099-NEC · Ridgeline Concrete Cutting · Box 4 · Federal income tax withheld

$2,112.00

Workbook: Forms 1099-NEC!D11

Draft figure · open items and review remain

Forms 1099-NEC!D11 = $2,112.00

='E04 Payments'!J91

E04 Payments!J91 = $2,112.00

Source files and cells (the full formula chain is in the workbook and on the review screen):

03 Payments/2026 vendor payments by vendor.xlsx · Vendor Payments!J91

UNSIGNED DRAFT

Original documents are attached to this PDF. The workbook is attached too.

FORMS 1099-NEC · FOLLOW THE EVIDENCE

Not on Form 1099-NEC · Payments left out, by reason

$1,611,672.47

Workbook: Exclusions!B14

Draft figure · open items and review remain

Exclusions!B14 = $1,611,672.47
=ROUND(SUM(B8:B13),2)

Exclusions!B8 = $1,291,045.00
=ROUND('Vendors'!F9+'Vendors'!F10+'Vendors'!F11+'Vendors'!F24,2)

Vendors!F9 = $908,200.00
=ROUND(D9-E9,2)

Vendors!D9 = $908,200.00
='E04 Payments'!I33

E04 Payments!I33 = $908,200.00

Vendors!E9 = $0.00

Vendors!F10 = $190,900.00
=ROUND(D10-E10,2)

Vendors!D10 = $190,900.00
='E04 Payments'!I39

E04 Payments!I39 = $190,900.00

Vendors!E10 = $0.00

Vendors!F11 = $147,425.00
=ROUND(D11-E11,2)

Vendors!D11 = $147,425.00
='E04 Payments'!I52

E04 Payments!I52 = $147,425.00

Vendors!E11 = $0.00

Vendors!F24 = $44,520.00
=ROUND(D24-E24,2)

... 39 more steps: the full chain is in the workbook and on the review screen.

Source files and cells (the full formula chain is in the workbook and on the review screen):
03 Payments/2026 vendor payments by vendor.xlsx · Vendor Payments!I33, Vendor Payments!I39, Vendor Payments!I52, Vendor Payments!I146, Vendor Payments!I125, Vendor Payments!I101, Vendor Payments!I103, Vendor Payments!I159, Vendor Payments!I85, Vendor Payments!I109, Vendor Payments!I114

Original documents are attached to this PDF. The workbook is attached too.

UNSIGNED DRAFT

FORMS 1099-NEC · FOLLOW THE EVIDENCE

Backup withholding · Not withheld: payer liable (BACKUP-01)

$1,344.00

Workbook: Backup Withholding!E13

Draft figure · open items and review remain

Backup Withholding!E13 = $1,344.00
=ROUND(SUM(E8:E12),2)

Backup Withholding!E8 = $576.00
=ROUND(C8-D8,2)

Backup Withholding!C8 = $576.00
=ROUND(B8*B6,2)

Backup Withholding!B8 = $2,400.00
='E04 Payments'!I86

E04 Payments!I86 = $2,400.00

Backup Withholding!B6 = 24.000%

Backup Withholding!D8 = $0.00
='E04 Payments'!J86

E04 Payments!J86 = $0.00

Backup Withholding!E9 = $768.00
=ROUND(C9-D9,2)

Backup Withholding!C9 = $768.00
=ROUND(B9*B6,2)

Backup Withholding!B9 = $3,200.00
='E04 Payments'!I87

E04 Payments!I87 = $3,200.00

Backup Withholding!D9 = $0.00
='E04 Payments'!J87

E04 Payments!J87 = $0.00

... 18 more steps: the full chain is in the workbook and on the review screen.

Source files and cells (the full formula chain is in the workbook and on the review screen):

03 Payments/2026 vendor payments by vendor.xlsx · Vendor Payments!I86, Vendor Payments!J86, Vendor Payments!I87, Vendor Payments!J87, Vendor Payments!I88, Vendor Payments!J88, Vendor Payments!I89, Vendor Payments!J89, Vendor Payments!I90, Vendor Payments!J90

Original documents are attached to this PDF. The workbook is attached too.

UNSIGNED DRAFT

WHAT STILL NEEDS A PERSON

TIN-01 · $26,850.00: Cedar Hollow Tile (V-109) gave a W-9 with the business name on line 1 and an SSN as a sole proprietor; IRS TIN Matching found no match. Form W-9 asks a sole proprietor for the owner's name on line 1 and the business name on line 2. The draft reports $26,850.00 under the name and TIN on file. A person gets the corrected W-9 before filing; filed as is, the form is likely to draw an IRS notice and a B notice, after which backup withholding would apply.

BACKUP-01 · $1,344.00: Ridgeline Concrete Cutting (V-108) never gave a W-9 or a TIN. 24% backup withholding was due on all 5 payments, $3,456.00; accounts payable withheld $2,112.00 from April 30 on, reported in box 4. The $1,344.00 not withheld from February 27 and March 31 is HANGS's own liability. A person reports the backup withholding on Form 945 and keeps soliciting the TIN; the form is filed with the TIN box blank.

LABOR-01 · $33,348.00: Tomas Arvelo, an individual, was paid $33,348.00 through accounts payable in 2026 for 794 hours of concrete finishing at $42.00 an hour under the HGC foreman, the question left open by the Q3 Form 941 review. The draft reports a Form 1099-NEC as accounts payable recorded the work. If a person decides the work is employment, the pay belongs on a Form W-2 with withholding instead, and the payroll returns change.

MISC-01 · $181,000.00: Two payees belong on Form 1099-MISC, which this run does not prepare: $96,000.00 of office rent to Harbor Ridge Office Partners LLC (box 1), and the $85,000.00 settlement paid to Moss and Tarrant PLLC (box 10, gross proceeds paid to an attorney). Form 1099-MISC has its own dates: e-filed with the IRS by March 31, 2027.

RETURN-01: Unsigned draft. The 9 Forms 1099-NEC are due to the IRS and to the recipients by Monday, February 1, 2027 (January 31 is a Sunday). HANGS must e-file; no Form 1096 is filed with an electronic filing. Resolve TIN-01 and LABOR-01 first; a person reviews, e-files and sends the recipient copies. Nothing has been filed.

This PDF is an unsigned draft in the forms' boxes. It is not the official Forms 1099-NEC, and it has not been reviewed or filed.

UNSIGNED DRAFT

TAX RULE CHECKS

Official sources checked during this run. These checks inform a reviewer, change no amount and settle no judgment.

What is the 2026 threshold for Form 1099-NEC, and did it change?

Verified Online · Instructions for Forms 1099-MISC and 1099-NEC (12/2026) · retrieved 2026-11-07 · determined-by-facts

https://www.irs.gov/instructions/i1099mec

Two sole proprietors were paid for services under $2,000: Wen Iverson (Bayview Locksmith) $1,450.00 and Omar Kettering (Rainier Window Cleaning) $1,980.00. Under the $600 threshold both would have been reported; for 2026 neither is. Talia Brannigan (Northwest Safety Training) was paid exactly $2,000.00 and is reported.

When are the 2026 Forms 1099-NEC due, and must they be e-filed?

Verified Online · Instructions for Forms 1099-MISC and 1099-NEC (12/2026) · retrieved 2026-11-07 · determined-by-facts

https://www.irs.gov/instructions/i1099mec

January 31, 2027 is a Sunday, so the forms are due Monday, February 1, 2027. With 101 Forms W-2 and these 9 Forms 1099-NEC, HANGS files well over 10 information returns and must e-file, through IRIS as its payer details say.

Is a Form 1096 needed?

Verified Online · About Form 1096, Annual Summary and Transmittal of U.S. Information Returns · retrieved 2026-11-07 · determined-by-facts

https://www.irs.gov/forms-pubs/about-form-1096

HANGS must e-file, so no Form 1096 is filed. The draft shows the same totals as a transmittal summary for the reviewer: 9 forms, box 1a $708,088.00, box 4 $2,112.00.

Which vendors are left out as corporations, merchandise or card payments?

Verified Online · Instructions for Forms 1099-MISC and 1099-NEC (12/2026) · retrieved 2026-11-07 · determined-by-facts

https://www.irs.gov/instructions/i1099mec

Left out: Northline Drywall Inc., Puget Sound Shoring Co. and Elliott Bay Equipment Rental Inc. (C corporations) and Evergreen Site Services LLC (an LLC taxed as an S corporation), $1,291,045.00; Olympic Lumber Supply LLC, lumber delivered with no services, $129,997.47; and Summit Crane and Rigging's two corporate card charges, $6,200.00. Cascade Rebar Placement LLC is a single-member LLC and is reported.

How are payments to the law firm and to the claimant's attorney reported?

Verified Online · Instructions for Forms 1099-MISC and 1099-NEC (12/2026) · retrieved 2026-11-07 · determined-by-facts

https://www.irs.gov/instructions/i1099mec

Harbor Field Counsel PLLC is an LLC taxed as a C corporation, but its $38,640.00 of legal fees are reported in box 1a. The $85,000.00 settlement paid to Moss and Tarrant PLLC's client trust account is gross proceeds for Form 1099-MISC box 10, which this run does not prepare (MISC-01).

Does the office rent go on Form 1099-NEC?

Verified Online · Instructions for Forms 1099-MISC and 1099-NEC (12/2026) · retrieved 2026-11-07 · determined-by-facts

https://www.irs.gov/instructions/i1099mec

The $96,000.00 of 2026 office rent to Harbor Ridge Office Partners LLC, a single-member LLC, belongs on Form 1099-MISC box 1, not on Form 1099-NEC (MISC-01).

What did HANGS owe for the vendor that never gave a TIN?

Verified Online · Instructions for the Requester of Form W-9 (03/2024) · retrieved 2026-11-07 · determined-by-facts

https://www.irs.gov/instructions/iw9

Ridgeline Concrete Cutting gave no W-9 for any of its five payments, $14,400.00. 24% of every payment is $3,456.00; accounts payable withheld only from April 30 on, $2,112.00, which goes in box 4. The $1,344.00 not withheld from the February 27 and March 31 payments is HANGS's own liability (BACKUP-01).

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TAX RULE CHECKS, CONTINUED

From when must backup withholding start, and where is it reported?

Verified Online · General Instructions for Certain Information Returns · retrieved 2026-11-07 · determined-by-facts

https://www.irs.gov/instructions/i1099gi

Ridgeline's first payment, $2,400.00 on February 27, already met the $2,000 threshold, so withholding was due from it; accounts payable set it up only on April 20, after a third request.

What is wrong with the Cedar Hollow Tile W-9?

Verified Online · Form W-9 (Rev. March 2024), Request for Taxpayer Identification Number and Certification · retrieved 2026-11-07 · blocked-by-missing-fact

https://www.irs.gov/pub/irs-pdf/fw9.pdf

Cedar Hollow Tile's W-9 has the business name on line 1 with an SSN, and IRS TIN Matching on October 21, 2026 found no match. The draft reports $26,850.00 under the name and TIN on file; a corrected W-9 was requested October 22 and has not come back (TIN-01).

Stays with a person: A person gets the corrected W-9 before filing (TIN-01).

Is Tomas Arvelo, paid by the hour through accounts payable, a contractor for Form 1099-NEC or an employee for Form W-2?

Verified Online · Independent Contractor (Self-Employed) or Employee? · retrieved 2026-11-07 · needs-human-judgment

https://www.irs.gov/businesses/small-businesses-self-employed/independent-contractor-self-employed-or-employee

Tomas Arvelo was paid $33,348.00 in 2026 for 794 hours of concrete finishing at $42.00 an hour under the HGC foreman at Tideflats Cold Storage, the question left open by the Q3 Form 941 review. The draft reports him on Form 1099-NEC as accounts payable recorded him (LABOR-01).

Stays with a person: A person decides the worker's status before filing (LABOR-01).

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